Rupa & Company Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Hosiery company selling men's and women's innerwear, thermal wear and athleisure under brands like Rupa, Jon and Macroman. Most sales go through distributors and dealers to local shops (general trade), with smaller amounts through modern trade and e-commerce, own brand outlets (EBOs) and exports.

Number	Value	What it means
Market cap	Rs 999 cr	What the market values the whole company at.
Sales, FY26	Rs 1,259 cr	Up only about 3% on FY25, and below the Rs 1,430 cr of FY22.
Net profit, FY26	Rs 72 cr	Down from Rs 83 cr in FY25 and far below the Rs 191 cr peak of FY22.
Operating margin, FY26	9%	Against 19-20% in FY21-FY22 and 13-15% before that: the business earns about half what it used to on each rupee of sales.
Sep 2026 quarter sales	Rs 320 cr	Flat on a year ago.
Sep 2026 quarter operating margin	8%	Up from 7% a year ago, mostly from lower ad spend and other cost savings.
Working capital	About 231-235 days (FY25, H1 FY26)	Money is tied up for most of a year in stock and dealer credit; borrowing rose again in H1 FY27 to fund about Rs 75 cr more working capital.
Promoter holding	73.28%	Unchanged for three years.

2. Concall coverage

Quarter	Date	Transcript read?
Q4 FY20 - Q3 FY23 (6 calls)	Feb 2021 - Feb 2023	Skimmed for backstory
Q4 FY23	25 May 2023	Yes, read for guidance
Q1 FY24 - Q3 FY24	Aug 2023 - Feb 2024	Skimmed
Q4 FY24	24 May 2024	Yes, read for guidance
Q1 FY25 - Q3 FY25	Aug 2024 - Feb 2025	Q2 FY25 (Nov 2024) read for guidance
Q4 FY25	22 May 2025	Yes, read for guidance
Q1 FY26	Aug 2025	Yes
Q2 FY26	15 Nov 2025	Yes
Q3 FY26	13 Feb 2026	Yes
Q4 FY26	26 May 2026	Yes
Q1 FY27	-	No transcript listed on Screener
Q2 FY27	3 Nov 2026	Yes, read in full

Twenty transcripts from early 2021 to November 2026. The guidance thread was traced across the yearly calls since May 2023.

Latest concall highlights: Q2 FY27 (call 3 Nov 2026)

- Revenue Rs 320.4 cr, flat on last year. EBITDA (operating profit) Rs 26 cr, up 15.9%; margin 8.1% vs 7% a year ago. Profit Rs 17 cr, up 17.4%.
- The margin gain came from a slightly better gross margin, ad spend cut to 4.7% of sales from 5.1%, and other cost savings. Thermal wear grew over 30%; athleisure also showed traction.
- Management is 'hopeful' of about 10% revenue growth for FY27 with an EBITDA margin of about 9%. An analyst pointed out this needs about 20% growth in the second half; the CFO agreed.

- The price war in hosiery continues: schemes, discounts and longer credit days. Borrowing went up to fund about Rs 75 cr more working capital since March.
- Board approved Rs 83 cr capex over 2-2.5 years: Rs 58 cr for a factory-cum-warehouse at West Bengal Hosiery Park and Rs 25 cr for a modern-trade warehouse. A former Hindalco CFO joined as independent director.

Business mix & capacity

Domestic vs export: FY26: exports about 3% of revenue, modern trade including e-commerce about 5%. So roughly nine-tenths or more is sold through Indian general trade.

Capacity use: Capacity utilisation not disclosed. The new Hosiery Park factory-cum-warehouse will take 2-2.5 years.

3. Earning Trigger thesis

There is no clear earnings trigger. For three years management has pointed to the same list of hopes: athleisure, thermal wear, women's wear, modern trade, exports and more own stores. Athleisure and thermals do grow and carry higher margins, but they haven't moved total sales, which have hardly grown since FY23, while a price war in the core innerwear business keeps margins at about half their old level.

Trigger	What management said	Evidence so far	Time horizon	Strength
Athleisure and thermal wear	Higher-margin ranges to lift mix (every year since 2023)	Athleisure about 15% of revenue (Q1 FY26); thermals up over 30% in Q2 FY27	Ongoing	Weak: not enough to move the total
Modern trade, e-commerce and exports	Grow new channels; modern trade target Rs 80-90 cr (Aug 2025)	Modern trade only 5% and exports 3% of FY26 revenue	Ongoing	Weak
New sales leadership	New sales, strategy, EBO and e-commerce heads and four zonal heads (May 2026)	H1 FY27 revenue up only 3.7%	1-2 years	Unproven
Hosiery Park capex	Rs 83 cr factory-cum-warehouse over 2-2.5 years (Nov 2026)	Just approved	FY29	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Borrowing went up in H1 FY27 to fund working capital (Nov 2026).
New business	No	Athleisure, thermals and modern trade are existing ranges and channels.
Margin up	No	Q2 FY27 margin up about 1 point on cost savings, but still far below the old level and guided at only about 9%.
New management	No	New sales-side heads and an independent director, but no new CEO, MD or CFO.
New capacity	No	Hosiery Park capex only just approved, 2-2.5 years away.
Big orders	No	No order book; thermal orders described only as 'good'.
Turnaround	No	Profitable throughout; no recovery yet in sales.
Promoter buying	No	Promoter stake flat at 73.28%.

The single concrete driver: No concrete driver: management's growth hopes rest on the same higher-margin ranges and new channels it has promised for three years.

3c. Margin bridge

Operating margin was 8.1% in Q2 FY27 vs 7% a year earlier, on a slightly better gross margin, lower ad spend and other savings. The price war is still on and management did not call the gain lasting (one-off).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
May 2023	Rs 2,000 cr turnover in three years	FY26 sales Rs 1,259 cr	Missed
May 2024	FY25 growth of about 15% with 10-11% EBITDA margin; Q1 FY25 growth 18-20%	FY25 sales up about 3%; target revised in Nov 2024 as yarn prices didn't behave as expected	Missed
Nov 2025	'Original guideline' of about 10% revenue growth in FY26; Q2 FY26 EBITDA margin 8-9%; working capital down 10-25 days	FY26 sales up about 3%; Q2 FY26 margin 7%	Missed
Aug 2025	Modern trade Rs 80-90 cr in FY26	Modern trade 5% of FY26 revenue	Missed
May 2026	FY27 revenue growth of 10-12%	H1 FY27 up 3.7%; guide now 'around 10%', needing about 20% second-half growth	Partly
Nov 2026	H2 FY27 growth near 20%, EBITDA margin about 9% for the year	To be checked	Too-early

Narrative drift: The headline promise of growth has been missed every year for three years, each time explained by a different outside factor: post-COVID trade correction, yarn prices, then a price war. The list of growth levers barely changes from call to call. The current guide is lower than before but still needs a sharp pickup the company hasn't shown.

5. Bottom line

Durable earning trigger? → NO

Nothing concrete is driving earnings. Sales have hardly grown in three years, margins are stuck near half their old level by a price war, and the higher-margin ranges and new channels are still too small to change the picture.

Management consistent? → NO

Management has missed its revenue guidance every year since 2023 and keeps resetting it. The promised growth levers repeat on every call without showing up in the totals.

6. Checkpoints for next quarter

- December quarter revenue grows clearly faster than the first half's 3.7%
- EBITDA margin holds near 9%
- Borrowing comes down as working capital is released

This is not investment advice. Do your own due diligence.